

should be, giving early low volatility investors a handsome capital gain, and the risk anomaly will go the same way as size.<sup>16</sup> I'd really like this to happen because the low risk mystery will then be resolved, but I'm not expecting it.

3.2. FACTORS => ASSETS

An asset owner should take a stand on which risk factors are appropriate and then implement those factor exposures with appropriate assets. Figure 14.4 illustrates this process. Some risk factors are themselves asset classes, like plain-vanilla stocks and bonds, which can be implemented cheaply. These are passive factors earned by simply going long the equity or bond market.

Many dynamic factors cut across asset class boundaries. Value-growth strategies buy cheap securities with high yields and sell expensive securities with low yields. Foreign exchange's version of value-growth is *carry*: carry strategies go long currencies with high interest rates and short currencies with low interest rates.<sup>17</sup> In fixed income, buying high-yielding bonds with long maturities funded by low-yielding bonds with short maturities is called *riding the yield curve* and is related to the *duration* risk premium (see chapter 9). In commodities, positive *roll returns* are accomplished by buying cheap long-dated futures contracts that increase in price as their maturities decrease (see chapter 11). And finally, in equities, value-growth is, well, value-growth.

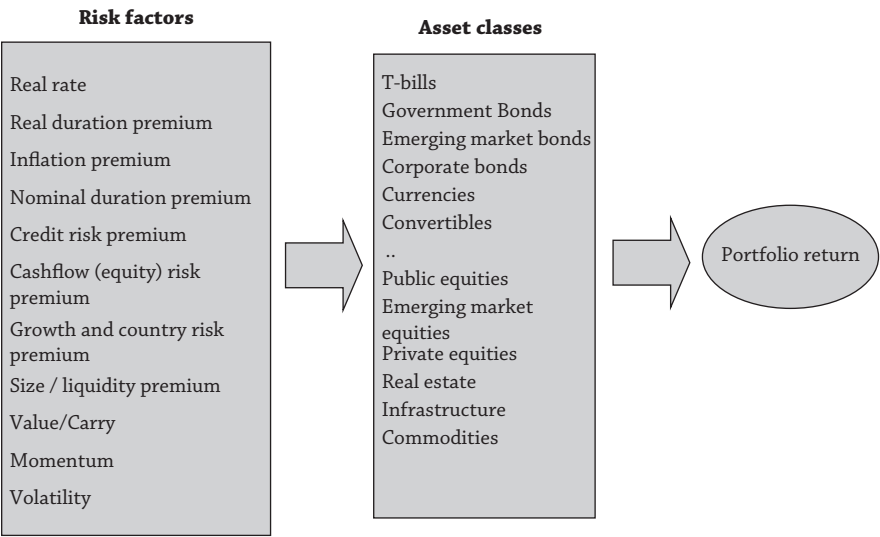


Figure 14.4

<sup>16</sup> See also Cochrane (2013b).  
<sup>17</sup> Or perhaps value-growth might be better described as carry in equity markets.